

Eighth Edition

Entrepreneurship

Chapter 8 The Marketing Plan

Industry Analysis

- It provides sufficient knowledge of the environment that can affect marketing strategy decision making.
- Information can be gathered through secondary sources and market research.
- The entrepreneur can begin to understand competitors' strengths and weaknesses; provides insight into how to position products or services.

a market research initiative is needed to secure more specific information on such variables as customer needs, competitive strengths and weaknesses, price, promotion, distribution, and product and services

Industry Analysis (cont.)

- Competitor Analysis
 - Document current strategies of primary competitors.
 - Information can be utilized to formulate the market positioning strategy.
 - This analysis provides a solid basis for marketing decision making.

Marketing Research for the New Venture

- **Step One:** Defining the Purpose or Objectives
 - Make a list of the information that will be needed to prepare the marketing plan.
- **Step Two: Gathering Data from Secondary Sources**
 - Secondary sources can include trade magazines, newspaper articles, libraries, government agencies, the Internet, and commercial data.

Marketing Research for the New Venture (cont.)

- Step Three: Gathering Information from Primary Sources
 - Data collection procedures - Observation, networking, interviewing, focus groups, and experimentation.
 - Data collection instrument - Questionnaire.

Table 8.3 A Comparison of Survey Methods

Method	Characteristics of Methods				
	Costs	Flexibility	Response Rate	Speed	Depth
Telephone	Can be inexpensive, depending on telephone distance and length of interview.	Some flexibility; possible to clarify or explain questions.	Good response rate possible (possible 80%) depending on not-at-homes or refusals.	Fastest method of obtaining information. Can contact many respondents in a short period.	Least detailed because of 8- to 10-minute time limitation.
Mail	Can be inexpensive, depending on number of units mailed and weight.	No flexibility since questionnaire is self-administered. Instrument needs to be self-explanatory.	Poorest response rate since respondent has choice of whether to complete questionnaire.	Slowest method because of time required to mail and wait for respondents to complete and return questionnaire.	Some depth possible since respondent completes questionnaire at his or her leisure.
Personal	Most expensive technique. Requires face-to-face contact.	Most flexible of all methods because of face-to-face contact.	The most effective response rate because of face-to-face contact.	Somewhat slow because of dead time needed for travel.	Most detailed because of open-ended questions.
Internet	Inexpensive.	No flexibility since self-administered.	Good response rate with incentives, but still relatively new method.	Very fast method since questionnaire is sent electronically.	Some depth possible since respondent completes questionnaire at his or her leisure.

Marketing Research for the New Venture (cont.)

- Step Four: Analyzing and Interpreting the Results
 - Results can be tabulated by hand or on a computer.
 - Evaluated and interpreted should be based on research objectives.
 - Cross-tabulated data can provide more focused results.

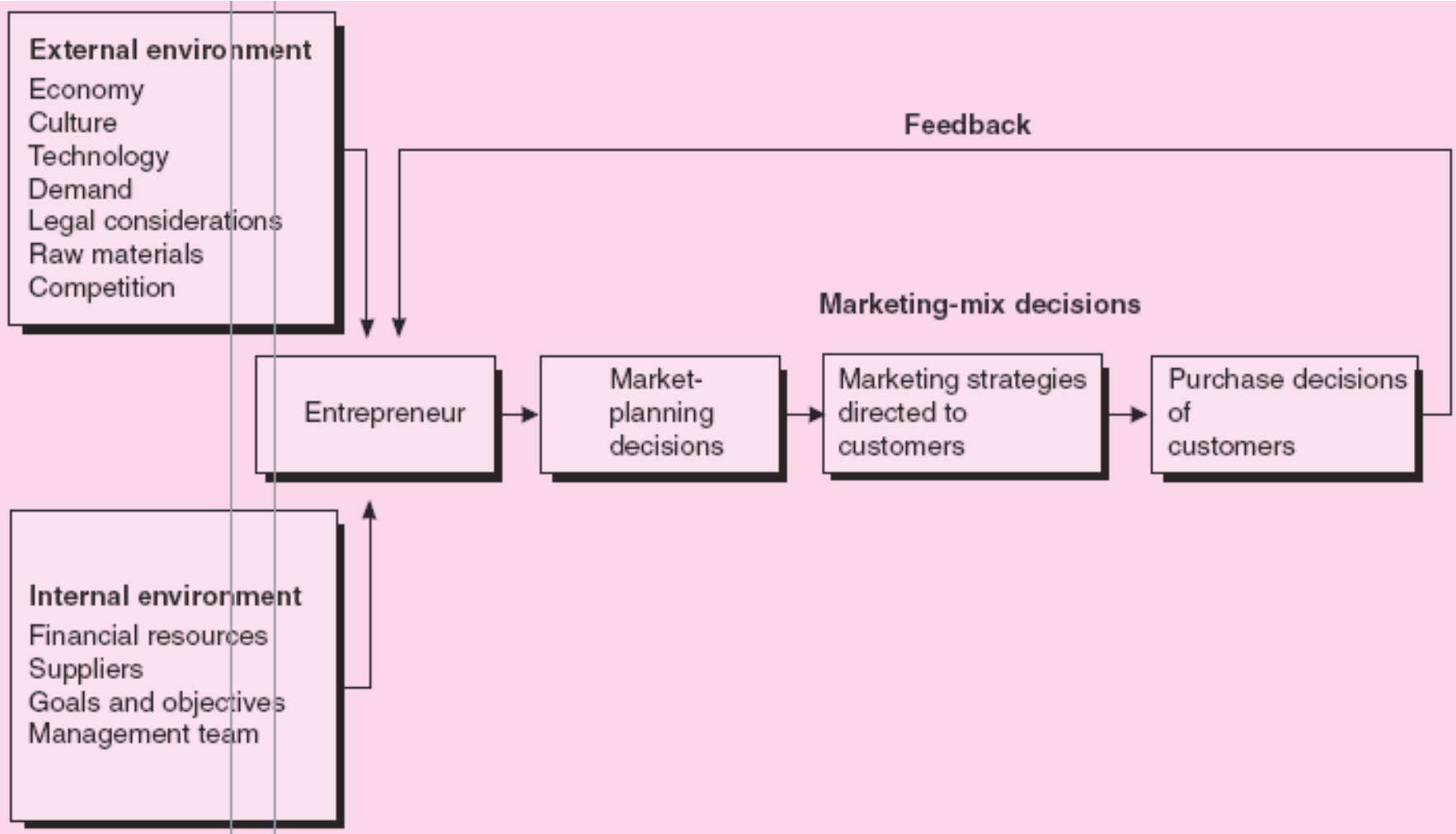
Understanding the Marketing Plan

- Marketing plan - A written statement of marketing objectives, strategies, and activities to be followed in business plan.
- It is designed to provide answers to three basic questions:
 - Where have we been?
 - Where do we want to go (in the short term)?
 - How do we get there?

Characteristics of a Marketing Plan

- A marketing plan should:
 - Provide a strategy.
 - Be based on facts/assumptions.
 - Describe an organization for implementation.
 - Provide for short-term and long-term continuity.
 - Be simple and short.
 - Be flexible.
 - Specify criteria for control.

Figure 8.1- The Marketing System



The Marketing Mix

- A combination of product, price, promotion, and distribution and other marketing activities needed to meet marketing objectives.

Variable	Critical Decisions
Product	Quality of components or materials, style, features, options, brand name, packaging, sizes, service availability, and warranties.
Price	Quality image, list price, quantity, discounts, allowances for quick payment, credit terms, and payment period.
Channels of distribution	Use of wholesalers and/or retailers, type of wholesalers or retailers, how many, length of channel, geographic coverage, inventory, and transportation.
Promotion	Media alternatives, message, media budget, role of personal selling, sales promotion (displays, coupons, etc.), and media interest in publicity.

Steps in Preparing the Marketing Plan

- Defining the Business Situation
 - Situation analysis - Describes past and present business achievements of new venture.
 - In case of a new venture, information should relate to how and why the product or service was developed.
 - After a new venture has started up information should relate to:
 - Present market conditions.
 - Performance of the company's goods and services.
 - Future opportunities or prospects.

Steps in Preparing the Marketing Plan (cont.)

- Defining the Target Market/ Opportunities and Threats
 - The target market is specific group of potential customers toward which the venture aims its marketing plan.
 - Market segmentation - Dividing a market into definable and measurable groups for purposes of targeting marketing strategy.

Steps in Preparing the Marketing Plan (cont.)

- Process of segmenting and targeting customers
 - Decide on general market or industry to pursue.
 - Divide market into smaller groups based on:
 - Characteristics of the customer – Geographic, demographic, and psychographic.
 - Buying situation – Desired benefits, usage, buying conditions, and awareness of buying intention.
 - Select segment or segments to target.
 - Develop a marketing plan integrating product, price, distribution, and promotion.
- Consider the strengths and weaknesses in the target market.

Steps in Preparing the Marketing Plan (cont.)

- Establishing Goals and Objectives
 - These are statements of level of performance desired by new venture.
 - Realistic and specific marketing goals and objectives respond to the question: “Where do we want to go?”.
 - Not all goals are quantifiable.
 - Limit the number of goals or objectives to between six and eight.
 - Goals should represent key areas to ensure marketing success.

Steps in Preparing the Marketing Plan (cont.)

- Defining Marketing Strategy and Action Programs
 - Product or service
 - May consider more than the physical characteristics.
 - Involves packaging, brand name, price, warranty, image, service, delivery time, features, style, and even the Web site.
 - Pricing
 - Costs - Material costs, labor costs, cost of goods from suppliers, labor and overhead expenses, etc.
 - Margins or markups - Expected to cover overhead costs and some profit.
 - Competition.

Steps in Preparing the Marketing Plan (cont.)

- Distribution
 - Provides utility to the consumer.
 - Must also be consistent with other marketing mix variables.
- Promotion
 - To inform potential consumers about the product's availability or to educate the consumer.
 - Methods include print, radio, or television advertising, Internet, direct mail, trade magazines, or newspapers.
 - The entrepreneur should considering both costs and effectiveness of the medium in meeting the market objectives.

Table 8.8 - Major Considerations in Channel Selection

Degree of Directness of Channel

- Market conditions—Concerned whether end users are concentrated (direct) or dispersed (indirect) in market.
- Product attributes—Concerned with whether product is large (direct) or small (indirect), bulky (direct), perishable (direct), hazardous (direct), expensive (direct).
- Cost benefits—Considers the cost benefits in selection of channel members; many benefits (indirect) minimal or no benefit (direct).
- Venture attributes—Considers financial strength, size, channel experience, and marketing strategy of venture.

Number of Channel Members

- Intensive—Selection of as many retailers and/or wholesalers as possible.
- Selective—Choose only small number of channel members based on some set of criteria or requirements.
- Exclusive—Select only one wholesaler and/or retailer.

Criteria in Selection of Channel Members

- Reputation
- Services provided

Number of Channels

- One channel for one target market or multiple target markets.
- Multiple channels for one target market or multiple target markets.

Steps in Preparing the Marketing Plan (cont.)

- Marketing Strategy: Consumer versus Business-to-Business Markets
 - Business-to-business markets involves selling of products or services to another business.
 - Usually aims at selling a large volume in one transaction.
 - Involves a more direct channel of distribution.
 - Use trade magazine advertising, direct sales, and trade shows.
 - Consumer markets involve sales to households for personal consumption.

Steps in Preparing the Marketing Plan (cont.)

- Budgeting and Implementation
 - Budgeting
 - Costs should be reasonably clear.
 - Assumptions, if necessary, should be clearly stated.
 - Useful in preparing the financial plan.
 - Implementation
 - The plan is meant to be a commitment by the entrepreneur to a specific strategy.
 - Entrepreneur should ensure coordination and implementation of the plan.

Steps in Preparing the Marketing Plan (cont.)

- Monitoring the Progress of Marketing Actions
 - Involves tracking results of the marketing effort.
 - Entrepreneur should prepare for contingencies.
 - Minor adjustments in the plan are normal; significant changes indicate a poorly prepared plan.
 - Weaknesses in market planning may be due to:
 - Poor analysis of the market and competitive strategy.
 - Unrealistic goals and objectives.
 - Poor implementation of the outlined plan actions.
 - Unforeseen hazards like weather or war.